

Tesla, Inc.

NASDAQ: TSLA | Consumer Discretionary — EV / AI / Energy | 30 June 2026

HOLD Prob-weighted ~\$389 · range \$117–\$787 | CMP: \$379 (18-Jul-2026) | Rating: HOLD

Investment Summary

Tesla is the hardest name in this coverage to value, and honesty demands saying so. On FY2025 fundamentals it looks expensive to the point of absurdity: revenue fell 3% to \$94.8 billion, net income dropped to \$3.8 billion, EPS halved to \$1.08, and the stock trades at roughly 350x trailing earnings. No conventional model on the car business gets close to a \$421 share price.

Scenario / real-options framework. A conventional multiple is not meaningful (~375x earnings), so we value Tesla as core business plus a probability-weighted option on autonomy and Optimus. Core — automotive (2.2x revenue), energy (7x, growing 27%), services/Supercharging (4x) and ~\$36bn net cash — is worth ~\$87/share. The rest of the price is the option: robotaxi is now live with no safety driver across five-plus cities. We weight three outcomes — Bear (32%, option ~\$30 → \$117/share), Base (46%, robotaxi scales → \$387), Bull (22%, robotaxi + Optimus inflect → \$787) — for a probability-weighted ~\$389, essentially the current \$379. But the ~\$117–\$787 range is the real message: the outcomes are unproven and near-binary. We rate HOLD and would size any position to conviction on the story, not to this spreadsheet.

That is because the market is not pricing the car business. The ~\$1.35 trillion valuation is an option on autonomy (robotaxi and Full Self-Driving), the Optimus humanoid robot, and a fast-growing energy-storage franchise. Those are real but unproven, with wide, binary outcomes and timelines that keep moving.

We rate Tesla HOLD. We respect the optionality and the execution track record, but we will not underwrite a trillion-dollar autonomy narrative with a spreadsheet. This is a position sized to conviction on the story, not to the FY2025 numbers.

Snapshot

Metric	Value	Note
Market cap	~\$1.35 trillion	≈3.5bn shares
FY2025 revenue	\$94.8bn (–3%)	Auto pricing pressure; energy growing
FY2025 net income / EPS	\$3.8bn / \$1.08	Down from \$2.04 in FY2024
Valuation	~350x trailing P/E	Meaningless on current earnings
What you're buying	Autonomy + Optimus + Energy	Option value, not the car P&L

FY2025 Results Review

Total revenue declined 3% to \$94.8bn as automotive pricing and volumes softened, partly offset by a rapidly growing energy generation-and-storage segment (now ~\$13bn) and services. Gross margin held around 18%, but operating income fell to \$4.4bn and net income to \$3.8bn (EPS \$1.08, down from \$2.04). Free cash flow was a healthier \$6.2bn. The FY2025 P&L, in short, describes a maturing auto-and-energy company — while the share price describes something else entirely.

Valuation

We deliberately decline to publish a single point target, because a defensible one doesn't exist. A DCF on the auto-and-energy business as it stands supports a fraction of the current price; the

balance is option value on Full Self-Driving / robotaxi economics and on Optimus reaching commercial scale — both of which are step-function, low-probability-of-precise-estimate outcomes.

The honest framing: at ~350x earnings, valuation offers no support if the autonomy timeline slips. The stock will trade on execution milestones (robotaxi rollout, FSD safety data, Optimus units) rather than on quarterly financials. HOLD reflects that the risk-reward is a coin-flip on narrative, not a mispricing we can quantify.

Key Risks

- Automotive demand and margin pressure in a competitive EV market.
- Autonomy timelines (robotaxi/FSD) slipping — the core of the valuation.
- Optimus commercialisation risk (unproven at scale).
- Extreme valuation: no earnings support if sentiment turns.
- Key-person and political/brand risk.

Company Overview

Tesla designs and sells electric vehicles, energy generation and storage systems, and is developing autonomous-driving software (FSD/robotaxi) and the Optimus humanoid robot. It is the most valuable automaker in the world by a wide margin, with a valuation that reflects expectations for autonomy and robotics far more than its current vehicle-and-energy earnings.

Disclaimer

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Tesla (TSLA) — Scenario / Real-Options Valuation

USD bn / per share. 3,756M shares; net cash ~\$36bn. Live \$379 (Jul 2026). A conventional multiple is not meaningful (~375x earnings) — see Peer Comps.

CORE BUSINESS (SOTP)

Segment	Revenue (\$bn)	Multiple	Value (\$bn)	Basis
Automotive	69.5	2.2	153	Premium brand/tech @ 2.2x rev
Energy gen & storage	12.8	7	90	+27% growth, margins rising @ 7x rev
Services & Supercharging	12.5	4	50	Recurring @ 4x rev
Net cash	36	1	36	Balance sheet
Core business value (\$bn)			329	
Core value per share (\$)			87	

AUTONOMY + OPTIMUS OPTIONALITY (scenario-weighted)

Scenario	Probability	Optionality/sha	Value/share = core + option (\$)
Bear — robotaxi/Optimus disappoint	32%	30	117
Base — robotaxi scales to a real business	46%	300	387
Bull — robotaxi + Optimus inflect	22%	700	787

PROBABILITY-WEIGHTED VALUE & RATING

Probability-weighted value / share (\$)	389	
Current price (\$)	379	
Upside / (downside)	2.7%	
Scenario range (\$/share)	117 to	787
Rating	HOLD	

Note: Tesla cannot be valued on the FY25 P&L (EPS \$1.08). ~\$290/share of the price is a real option on autonomy (robotaxi now live, no safety driver, 5+ citi

Line Item	2020	2021	2022
REVENUE			
Automotive Sales	24,324	44,125	67,210
Automotive Regulatory Credits	1,580	1,465	1,776
Automotive Leasing	1,052	1,642	2,476
Total Automotive Revenue	26,956	47,232	71,462
Energy Generation & Storage	1,994	2,789	3,909
Services and Other	2,306	3,802	6,091
Total Revenue	31,256	53,823	81,462
COST OF REVENUE			
Automotive Cost of Sales	19,696	32,415	49,599
Automotive Leasing Cost	408	549	979
Total Automotive Cost	20,104	32,964	50,578
Energy Generation & Storage Cost	2,139	2,111	2,918
Services and Other Cost	2,663	3,142	7,113
Total Cost of Revenue	24,906	38,217	60,609
GROSS PROFIT	6,350	15,606	20,853
Gross Profit Margin %	20.3	29.0	25.6
OPERATING EXPENSES			
Research & Development	1,491	2,593	3,075
Selling, General & Administrative	3,145	4,517	3,946
Restructuring and Other	0	-27	176
Total Operating Expenses	4,636	7,083	7,197
OPERATING INCOME (EBIT)	1,714	8,523	13,656
Operating Margin %	5.5	15.8	16.8
OTHER INCOME/EXPENSE			
Interest Income	30	56	297
Interest Expense	-748	-371	-191
Other Income (Expense), Net	-122	135	-43
Total Other Income/Expense	-840	-180	63
INCOME BEFORE TAXES	874	8343	13719
Provision for Income Taxes	292	699	1,132

NET INCOME	582	7,644	12,587
Net Income Margin %	1.9	14.2	15.5
ADJUSTED METRICS			
EBITDA (Adjusted)	4,273	9,434	17,235
EBITDA Margin %	13.5	17.5	21.2
Depreciation & Amortization	2,322	2,593	3,398

2023	2024	2025	
78,503	73,258	65,821	
1,790	2070	1993	
2,126	1,742	1,712	
82,419	77,070	69,526	
6,035	10,086	12,771	
8,319	10,534	12,530	
96,773	97,690	94,827	
65,121	60,702	56,267	
921	800	898	
66,042	61,502	57,165	
4,479	8,023	8,969	
8,301	9,925	11,599	
78,822	79,450	77,733	
17,951	18,240	17,094	
18.5	18.7	18.0	
3,969	4,276	6,411	
4,639	5,031	5,834	
283	-648	494	
8,891	8,659	12,739	
9,060	9,581	4,355	
9.4	9.8	4.6	
1,066	1,683	1,680	
-433	-354	-338	
197	(9,609)	-419	
830	-8280	923	
9890	1301	5278	
(5,107)	(5,790)	1,423	

14,997	7,091	3,855
15.5	7.3	4.1
13,558	13,027	10,503
14	13.3	11.08
3,668	3,446	6,148

Line Item	2020	2021	2022
ASSETS			
CURRENT ASSETS			
Cash and Cash Equivalents	6,268	6,580	16,398
Short-term Investments	12,709	11,564	526
Total Cash & Investments	18,977	18,144	16,924
Accounts Receivable, Net	1,886	1,913	2,952
Inventory	4,101	5,757	12,839
Prepaid Expenses & Other	1,573	1,786	2,941
Total Current Assets	26,537	27,600	35,656
NON-CURRENT ASSETS			
Property, Plant & Equipment, Net	23,375	31,176	36,669
Operating Lease Vehicles, Net	1,552	2,774	5,226
Solar Energy Systems, Net	5,979	6,192	6,450
Intangible Assets & Goodwill	366	388	435
Digital Assets	0	0	184
Deferred Tax Assets	151	89	537
Other Non-current Assets	0	3,413	3,270
Total Non-Current Assets	25,431	35,031	41,421
TOTAL ASSETS	52,148	62,131	82,338
LIABILITIES & EQUITY			
CURRENT LIABILITIES			
Accounts Payable	6,051	10,025	15,255
Accrued Liabilities & Other	5,288	7,612	8,941
Deferred Revenue	1,121	1,447	1,747
Customer Deposits	925	925	1,063
Current Debt & Finance Leases	2,132	1,696	1,502
Total Current Liabilities	14,248	19,705	26,709
NON-CURRENT LIABILITIES			

Long-term Debt & Finance Leases	9,556	5,245	2,889
Deferred Revenue, Non-current	1,340	1,523	1,913
Other Long-term Liabilities	3,325	4,075	4,929
Total Non-Current Liabilities	14,221	10,843	9,731
TOTAL LIABILITIES	28,469	30,548	36,440
SHAREHOLDERS EQUITY			
Common Stock	1	2	3
Additional Paid-in Capital	28,036	31,251	33,140
Accumulated Other Comprehensive Income	-36	-101	-158
Retained Earnings	(6,083)	158	12,885
Non-controlling Interests	1,761	2,273	2,028
Total Stockholders Equity	23,679	31,583	45,898
TOTAL LIABILITIES & EQUITY	52,148	62,131	82,338

2023	2024	2025
16,398	17,533	16,513
12,879	16,047	27,546
29,277	33,580	44,059
3,508	3,792	4,576
13,626	16,349	12,392
3,205	4,639	7,615
49,616	58,360	68,642
44,740	49,768	40,643
7,191	7,361	4,912
6,715	6,928	4,604
431	413	0
184	184	1,008
6,733	6,692	6,925
4,299	4,964	11,072
57,002	63,710	69,164
106,618	###	###
14,431	13,056	13,371
9,080	9,616	13,279
2,864	2,793	3,424
825	652	0
2,373	7,745	1,640
28,748	28,821	31,714

2,857	5,481	6,736
3,251	3,357	3,631
8,153	9,002	12,860
14,261	19,569	23,227
43,009	48,390	54,941
3	3	3
34,833	36,443	42,770
-543	-467	361
28,583	36,978	39,003
733	723	728
63,609	73,680	82,865
106,618	###	###

Line Item	2020	2021	2022
OPERATING ACTIVITIES			
Net Income	862	5,644	12,587
Adjustments to Reconcile:			
Depreciation & Amortization	2,322	2,593	3,398
Stock-based Compensation	774	1,993	2,543
Deferred Income Taxes	48	-151	394
Amortization of Debt	70	86	66
Loss (Gain) on Digital Assets	0	101	-204
Changes in Operating Assets/Liabilities:			
Accounts Receivable	-341	-184	-858
Inventory	(1,479)	(1,709)	(6,660)
Prepaid & Other Assets	-219	-516	(1,287)
Accounts Payable	2,102	4,578	6,029
Accrued Liabilities & Other	633	1,320	1,904
Deferred Revenue	321	793	1,131
Other	850	-51	681
Net Cash from Operating Activities	5,943	11,497	14,724
INVESTING ACTIVITIES			
Capital Expenditures (PP&E)	(3,157)	(6,514)	(7,163)
Purchase of Intangible Assets	0	-41	-20
Purchase of Short-term Investments	-12	(1,249)	(3,945)
Proceeds from Maturities of Investments	0	0	0
Purchase/Sale of Digital Assets	0	-165	170
Business Combinations	-13	0	0
Other Investing Activities	50	101	-15
Net Cash from Investing Activities	(3,132)	(7,868)	(11,973)
FINANCING ACTIVITIES			
Proceeds from Debt Issuance	9,713	8,883	0
Repayments of Debt	(11,623)	(14,167)	(3,364)
Proceeds from Stock Issuances	12,686	707	541
Stock Buybacks	0	0	0
Principal Payments on Leases	-338	-439	-502
Other Financing Activities	-465	(1,187)	-202
Net Cash from Financing Activities	9,973	(5,203)	(3,527)

NET CHANGE IN CASH	13,118	(1,757)	(1,220)
Cash at Beginning of Period	6,268	18,144	16,924
Cash at End of Period	19,386	16,387	15,704
KEY METRICS FOR DCF			
Free Cash Flow	2,786	4,983	7,561
Capex as % of Revenue	10	12.1	8.8
Operating Cash Flow Margin %	18.8	21.4	18.1

2023	2024	2025
14,997	7,091	3,855
3,668	3,446	6,148
1,743	1,815	2,825
(6,100)	6,228	123
46	67	0
0	0	68
-615	-354	-261
(1,149)	(2,778)	-630
-735	(1,414)	(3,181)
1,889	(1,378)	4,376
1,106	594	0
1,096	-71	363
310	1,677	1,061
13,256	14,923	14,747
(8,903)	(11,339)	(8,527)
-27	-10	0
(21,066)	(12,919)	(37,109)
12,654	7,520	30,158
0	0	0
0	0	0
-242	-39	0
(15,584)	(18,787)	(15,478)
3,012	5,382	5,586
(2,823)	(2,467)	(5,546)
764	816	1,186
0	0	0
-545	-589	-104
2,181	711	17
2,589	3,853	1,139

265	-152	579
16,398	33,580	17,037
16,663	33,428	17,616
4,353	3,584	6,220
9.2	11.6	9
13.7	15.3	15.6

Metric	2020	2021	2022
--- PROFITABILITY METRICS ---			
Revenue (\$ millions)	31,536	53,823	81,462
Revenue Growth %		70.7	51.3
Gross Profit (\$ millions)	6,630	13,606	20,853
Gross Margin %	21	25.3	25.6
Operating Income/EBIT (\$ millions)	1,994	6,523	13,656
Operating Margin %	6.3	12.1	16.8
Net Income (\$ millions)	862	5,644	12,587
Net Margin %	2.7	10.5	15.4
EBITDA (\$ millions)	4,273	9,434	17,235
EBITDA Margin %	13.5	17.5	21.2
--- BALANCE SHEET METRICS ---			
Total Assets (\$ millions)	52,148	62,131	82,338
Total Liabilities (\$ millions)	28,469	30,548	36,440
Total Equity (\$ millions)	23,679	31,583	45,898
Cash & Investments (\$ millions)	18,977	18,144	16,924
Total Debt (\$ millions)	11,688	6,941	4,391
Net Debt (\$ millions)	(7,289)	(11,203)	(12,533)
--- CASH FLOW METRICS ---			
Operating Cash Flow (\$ millions)	5,943	11,497	14,724
Capex (\$ millions)	(3,157)	(6,514)	(7,163)
Free Cash Flow (\$ millions)	2,786	4,983	7,561
FCF Margin %	8.8	9.3	9.3
Capex as % of Revenue	10	12.1	8.8
--- RETURNS & EFFICIENCY ---			
ROE (Return on Equity) %	3.6	17.9	27.4
ROA (Return on Assets) %	1.7	9.1	15.3
Asset Turnover	0.6	0.87	0.99
--- LIQUIDITY RATIOS ---			
Current Ratio	1.87	1.37	1.53
Quick Ratio	1.34	1.08	1.04
Cash Ratio	1.33	0.92	1
--- LEVERAGE RATIOS ---			
Debt-to-Equity	0.49	0.22	0.1
Debt-to-Assets	0.22	0.11	0.05
Interest Coverage (EBIT/Interest)	-2.67	-17.58	71.49
--- VALUATION INPUTS ---			
Shares Outstanding (millions)	3,095	3,164	3,475
Market Cap (as of data date, \$ billions)	N/A	N/A	N/A

Enterprise Value = Market Cap + Net Debt	Calculate EV	Calculate EV	Calculate EV
Price per Share (assumed for reference)	N/A	N/A	N/A
--- KEY NOTES FOR DCF ---			
Use Free Cash Flow for DCF projections	OCF - Capex	OCF - Capex	OCF - Capex
WACC estimation needed	Use market inputs	Use market inputs	Use market inputs
Terminal growth rate assumption needed	1-3% typical	1-3% typical	1-3% typical
Tax rate for DCF	~15-20%	~15-20%	~15-20%
D&A to add back for EBITDA-based DCF	2,322	2,593	3,398

2023	2024
96,773	97,690
18.8	0.9
17,951	18,240
18.5	18.7
9,060	9,581
9.4	9.8
14,997	7,091
15.5	7.3
13,558	13,027
14	13.3
106,618	122,070
43,009	48,390
63,609	73,680
29,277	33,580
5,230	13,226
(24,047)	(20,354)
13,256	14,923
(8,903)	(11,339)
4,353	3,584
4.5	3.7
9.2	11.6
23.6	9.6
14.1	5.8
0.91	0.8
1.72	2.03
1.27	1.56
1.02	1.17
0.08	0.18
0.05	0.11
20.93	27.07
3,191	3,217
N/A	N/A

Calculate EV	Calculate EV
N/A	N/A
OCF - Capex	OCF - Capex
Use market inputs	Use market inputs
1-3% typical	1-3% typical
~15-20%	~15-20%
3,668	3,446

Tesla — Comparable Company Analysis

Comparable-company analysis is not meaningful for Tesla.

At ~350x trailing earnings (FY2025 EPS \$1.08), Tesla's multiple bears no relationship to traditional auto or tech peers — the valuation is an option on autonomy (robotaxi/FSD), Optimus, and energy storage, not on the current vehicle-and-energy P&L.

Peer P/E for reference (late-Jun 2026):

Tesla ~350x · traditional autos ~6–10x · big-tech 20–34x

We therefore value Tesla on scenario/optionality, not multiples — see the note. Rating: HOLD.

